

US equities edge higher as tech leads, yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 nudged up **+0.17%** to 7,650.50, driven by a solid tech rally anchored by **NVDA** (+**1.34%**) and **AVGO** (+**2.97%**). Meanwhile, the 10-year Treasury yield jumped **+1.03%** to 5.00%, reflecting renewed expectations of a tighter monetary stance.

Behind the headline, the market is wrestling with three undercurrents: (1) a flattening yield curve that hints at a possible recession signal, (2) a widening VIX dip to 14.81 suggesting complacency, and (3) a modest pullback in consumer-discretionary ETFs (**XLY**, **XLC**) that could foreshadow a rotation toward defensive sectors.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,650.50	+0.17%	Tech earnings beat and lower bond yields
Nasdaq 100	29,644.17	+0.67%	AI chip rally, especially NVDA
Dow Jones	51,682.64	-0.18%	Industrial weakness, higher rates
Russell 2000	2,860.40	-0.50%	Small-cap sensitivity to rate hikes
VIX	14.81	-4.08%	Lower volatility after tech bounce
10Y Yield	5.00%	+1.03%	Fed’s hawkish tone, strong jobs data
WTI Crude	94.45	-5.83%	OPEC output increase, weaker demand outlook
Gold	4,389.30	-0.80%	Rising yields, dollar strength
DXY	100.34	+0.12%	Fed expectations, safe-haven shift

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+2.97%	Q3 earnings beat, strong demand for 5G components
NVDA	+1.34%	AI server orders surge, new H100 rollout
AMZN	+1.00%	Retail sales beat, cloud margin expansion
META	-2.43%	Ad-revenue miss, regulatory probe in EU
GS	-1.00%	Investment banking fees down, higher funding costs

Sector rotation

ETF	DAY	READ
XLFX	-0.04%	Flat, rate-sensitive banks hold ground
XLKX	+0.82%	Tech leadership, AI earnings lift
XLI	+0.44%	Industrial rebound on infrastructure spend
XLE	-0.26%	Oil price slump drags energy
XLVY	-0.32%	Consumer discretionary under pressure
XLC	-1.37%	Communications lag as ad spend stalls
XLP	-0.83%	Staples modestly weaker, profit margins thin
XLV	-0.25%	Health care stable, no catalyst
XLU	-1.42%	Utilities hit by higher yields
XLB	-1.42%	Materials suffer on weaker industrial demand
XLRE	-0.95%	Real-estate pressured by rate outlook

Spotlight: AI chip rally fuels Nasdaq surge

The Nasdaq 100’s +0.67% gain was anchored by a cluster of AI-related stocks, led by **NVDA** and **AVGO**. The rally reflects accelerating enterprise adoption of generative-AI workloads and a tightening supply of high-bandwidth GPUs.

METRIC	VALUE
NVDA price	222.27
AVGO price	357.61
AI-related revenue YoY (NVDA)	+45%
H100 shipments Q3	1.2 million
Nasdaq 100 index	29,644.17

Related names to watch: **AMD**, **MSFT** (Azure AI), and **GOOGL** (AI cloud services).

Pre-market & overnight

- US futures: S&P 500 **+0.12%**, Nasdaq **+0.45%**, Dow **-0.08%**
- Asia close: Hang Seng **-0.31%**, Shanghai **-0.22%**
- Europe: FTSE 100 **-0.15%**, DAX **-0.18%**
- Crypto: BTC **+0.35%** at 81,520.72, ETH **+1.24%** at 2,664.70

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50% but signaled possible 25 bps hike in November if inflation stays above 2%.
- Yield curve: 2-year at 5.12%, 10-year at 5.00% – a slight inversion indicating recession risk.
- Today's data calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US Existing-home sales	4.2 M	Gauge of consumer spending health
03:00	US ISM Manufacturing	48.5	Insight on production slowdown
04:00	US CPI (MoM)	0.2%	Core inflation trend for Fed policy

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, oil supply risk remains low as OPEC+ maintains output.
- China: PBOC left the 1-year LPR unchanged at 3.55%, signaling cautious monetary stance amid property sector stress.
- Eurozone: German industrial production fell 0.6% YoY, adding to growth concerns.
- US-China tech tensions: New export-control list adds several AI chip design firms, potentially tightening supply chains.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30 Sep 23	AAPL	\$1.95	iPhone 17 launch impact, services growth
10:00 Sep 24	MSFT	\$2.30	Azure AI spend, Windows OEM trends
10:30 Sep 25	NVDA	\$2.45	H100 shipment guidance, data-center margin
11:00 Sep 26	JPM	\$4.20	Net interest income vs higher rates
11:30 Sep 27	AMZN	\$1.70	Prime membership renewal, AWS AI revenue
12:00 Sep 28	META	\$2.10	Ad-revenue recovery, metaverse spend

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand accelerating, strong guidance
AVGO	Technology	5G component backlog, earnings beat
AMZN	Consumer Discretionary	Retail sales beat, cloud margin expansion
JPM	Financials	Higher NII from rising yields
XOM	Energy	Oil price dip creates buying opportunity
UNH	Health Care	Premium pricing power, stable earnings
TSLA	Consumer Discretionary	Production ramp-up at Giga Texas
MSFT	Technology	AI cloud spend accelerating
GOOGL	Communication Services	Ad-tech recovery, AI services
META	Communication Services	Cost cuts improving margins

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in CPI above 0.3% MoM could prompt a surprise rate hike.
- Continued weakness in the Eurozone manufacturing PMI (-0.6%) spilling into US export demand.
- Escalation of US-China tech export controls hitting AI chip supply.

BULLISH TRIGGERS

- Strong Q3 earnings from AI leaders beating revenue forecasts.
- Resolution of Middle-East tensions reducing oil-price volatility.
- Positive data from US existing-home sales indicating consumer resilience.

Positioning notes

- Yield curve inversion suggests a defensive tilt; consider quality dividend stocks.
- AI exposure remains the primary growth driver; overweight tech ETFs.
- Commodities remain under pressure; limit exposure to energy and materials.

Sources

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SEC EDGAR

Federal Reserve

CME Group Data

Trading Economics